

Reposition an underperforming portfolio offering

Application Managed Services (AMS): strong technical delivery, but commercially stuck — flat net sales, declining margins, Sales cannot articulate value, regional pricing chaos.

NET SALES (2 YRS)

Flat

Weak conversion · no attach

GROSS MARGIN

−4−6 pts

Discount · scope creep · KT bleed

DELIVERY NPS / C-SAT

Strong

Execution is not the problem

WORKING HYPOTHESIS

Commercially mis-positioned — sold as FTE headcount while the market buys outcomes, autonomy, and TCO reduction. Delivery excellence exists; the product story, packaging, and pricing model do not.

AGENDA · 10 MINUTES

1 Diagnose → 2 Decide → 3 Package & price → 4 Prioritize & align → 5 Measure & close

Proof anchors: H3G UK \$125m packaging & economics · TEF Argentina \$100m renewal reposition

Strong delivery. Broken commercial model. → Reposition.

WIN / LOSS

15–20 deals · tag price vs value vs unclear

MARGIN

GM waterfall · discount · KT overrun · CR leak

COMPETITIVE

FTE SI vs outcome / AO product MS shift

VOICE

NPS high + pay willingness low = story gap

PORTFOLIO

18-mo GM path? Attach to AO / products?

Commoditized packaging

Sold as L1/L2/L3 FTE towers — procurement benches us vs SIs

Pricing chaos

Regional ad-hoc discounts · underpriced KT · unpaid scope creep

Value story gap

Buyers want TCO & autonomy path; we pitch headcount replacement

SUNSET

Rejects delivery DNA & footprint.
Only if no 18-mo GM path.

EVOLVE ONLY

Tooling without SKU change
fixes neither narrative nor GM.

REPOSITION ✓

Outcome-tiered Application Ops
Stabilize → Optimize → Autonomize

Sell tiers & outcomes — not FTE towers

Value prop: Outcome-guaranteed Application Operations with a built-in ramp to autonomy — reducing customer TCO while protecting margin through standardized tiers & global guardrails.

STABILIZE

Restore control

- Backlog burn · SLA baseline
- Single accountability · CPI board
- Top-offender program
- Price: platform + app-class
- Floor GM $\geq$ 22%

OPTIMIZE

TCO & MTTR proof

- + Unified observability / SPOG
- + GenAI SOP · automation factory
- Outcome-band pricing
- Gain-share on TCO proof
- Floor GM $\geq$ 26%

AUTONOMIZE

Path to L3–L4 autonomy

- + Closed-loop · policy packs
- + Soft-ramp CPI contract
- Milestone + performance
- On-ramp to reusable AO SKU
- Floor GM $\geq$ 30%

MODULAR ATTACH · PRICED, NOT FREE

Observability jump-start · Top-offender sprint · Transition accelerator (mandatory KT) · Vendor-consolidation bridge · Customer buys service class & CPI — not FTEs

Deal Desk rules that stop the bleed — fund ROI first

PRICING GUARDRAILS

Floor GM%

Stabilize $\geq 22\%$ · Optimize $\geq 26\%$ · Autonomize $\geq 30\%$

Max discount

$\leq 12\%$ off list ($\leq 8\%$ renewals) — trade for scope / term

Transition

KT module mandatory · min 8% of Y1 ACV

Scope CR

Unpaid work cap 2% ACV · 5-day CR cycle

Regional variance

Like-for-like within $\pm 15\%$ of global rate card

CPI / penalty

Soft-ramp M1–6 · credit caps · Finance rev-rec

FUND · HIGH ROI

- Q1: Rate card · tier SKUs · ROI · Deal Desk
- Q2: CPI catalogue · transition factory · 2 pilots
- Q3–4: Observability · SPOG · library · renewals
- Y2: Autonomize → reusable AO offering merge

STOP / DEPRIORITIZE

- × Per-account custom observability builds
- × Below-floor PoCs to “win logo”
- × Regional bespoke rate cards
- × Rebrand without sales / Deal Desk kit

One program — Sales, Marketing, Finance, Regions

SALES / DEAL DESK

≥80% bids on tier SKU by Q2

Discovery kit · ROI · margin waterfall · weekly pilot review

MARKETING

One narrative: Apps Ops → Autonomy

Tier one-pagers · proof stories · retire FTE language

FINANCE

Rev-rec compliant · GM floors in ERP

Platform vs milestone memo · penalty lot · bid sign-off

REGIONS / DELIVERY

Pilots hit CPI catalogue

KT playbook · SDM board · QBR step-ups · train-the-trainer

12-MONTH SCOREBOARD · Quarterly Pricing Council

Net sales Flat → +8–12%

Gross margin recover +3–4 pts

Tier SKU adoption ≥80%

Regional price variance <15%

Wins citing value/TCO ≥40%

Renewal step-up ≥25% Optimize+

Feedback loop: monthly Deal Desk overrides + CR volume → quarterly pricing council (±3% rate card) → annual sunset re-test & Autonomize → AO SKU merge

Reposition AMS. Land with tiers. Expand to autonomy.

THE CALL

Reposition Application Managed Services as Outcome-Tiered Application Operations (Stabilize → Optimize → Autonomize). Do not sunset a delivery-capable franchise. Do not evolve tooling without fixing the commercial SKU. Fund guardrails & enablement in Q1; pilot in two regions; measure with a quarterly pricing council.

WHY CREDIBLE

H3G UK — \$125m

75 CPIs · priced transition · 474→336 economics — sold transformation, not FTEs

TEF Argentina — \$100m

Repositioned accountability & KPI transparency when the story was broken → renewal

ASK OF LEADERSHIP

- Approve reposition mandate & global rate card
- Stand up Deal Desk guardrails this quarter
- Authorize 2 regional pilots (UK + LATAM)
- Name SPM owner + monthly steering forum

Q&A · 5 minutes · [Detail: HTML case study for deep-dive](#)